

Amazon.com, Inc.

AMZN NASDAQ

Buy

\$246.79 ▲ 0.26%

12M Price Target
\$285.00

52-Week Range
\$196.00 – \$287.20

Market Cap
\$2.66T

AMZN: Drifting Sideways as Market Awaits Q3 Print

WHAT HAPPENED

- Basically nothing happened — stock is up a whisper (+0.26%) on notably light volume (16M shares vs the usual 30-40M). That's a "nobody's trading, everyone's waiting" signal, typically ahead of a catalyst like earnings or a Fed meeting.
- The 5-day chart shows AMZN drifted from \$249 down to \$246 — a slow bleed alongside the whole consumer discretionary sector (-2.75% for the week). This is macro, not Amazon-specific.

WHY IT MATTERS

The options market is flashing bullish — a put/call ratio of 0.50 means twice as many call bets (bullish) as put bets (bearish), and someone just bought 38,000 near-the-money calls for ~\$5M. That's a real dollar bet that AMZN grinds higher into October, likely positioning for Q3 earnings. The CEO of Amazon Stores selling 1,000 shares is basically noise — it's a rounding error and probably a scheduled 10b5-1 sale, not a red flag. What this all adds up to: smart money is quietly loading up while retail is bored, and the stock is coiled in the middle of its 52-week range waiting for a catalyst to break it out.

POLICY & POLITICAL WATCH

Two big political wires to watch: (1) The FTC's antitrust case against Amazon is still grinding through the courts — a loss could force structural changes to the marketplace business, though any real remedy is years away. (2) Tariff policy on Chinese goods remains the swing factor for retail margins — Amazon's third-party sellers source heavily from China, so any escalation gets passed through as either price hikes (bad for volume) or margin compression (bad for earnings). On the tailwind side, federal AI infrastructure spending continues to flow, and AWS is one of the three certified providers for most government cloud contracts — that's a multi-year revenue annuity that isn't going away regardless of who's in the White House.

IS IT EXPENSIVE?

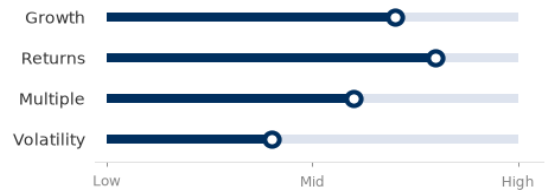
At ~36x forward earnings, you're paying \$36 for every \$1 of profit Amazon is expected to make next year — that's a premium to the S&P (around 22x) but reasonable for a company growing AWS at ~18% and expanding retail margins. On EV/EBITDA of ~17.5x (basically, enterprise value divided by cash operating profit), it's actually cheaper than Microsoft and Google on a growth-adjusted basis. Not a screaming bargain, but fair — the price is justified if AWS keeps compounding and AI capex starts translating into revenue in 2027.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$246.79
12M Price Target	\$285.00
Upside / (Downside)	+15.5%
Market Cap	\$2.66T
FY2026E Revenue	\$715M
FY2027E Revenue	\$790M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.40
Fwd P/E	36.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$260.00	\$250.00	\$235.00
6 Months	\$285.00	\$265.00	\$220.00
1 Year	\$310.00	\$285.00	\$210.00
2 Years	\$360.00	\$320.00	\$230.00
5 Years	\$500.00	\$400.00	\$260.00
10 Years	\$800.00	\$600.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+0.98%) — this is the AI power-demand trade, investors are betting data centers need massive electricity, which is actually a second-order bullish signal for hyperscalers like AMZN.

COOLING OFF: Real Estate (-2.99% weekly) and Consumer Discretionary (-2.75% weekly) — rate-sensitive stuff getting hit, likely on hotter inflation data or Fed hawkishness.

ROTATION WATCH: Money is quietly leaving discretionary and rotating into defensives (utilities) — that's a "prepare for slowdown" signal, and it's why AMZN is drifting despite good fundamentals. Retail is 40% of Amazon's business, so consumer weakness matters.

RELATED PLAY: If the AI-power-utilities theme keeps running, the picks-and-shovels plays are data center REITs (EQIX, DLR) and power infrastructure (VST, CEG) — they win regardless of which cloud provider dominates.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Azure continues to steal AI workload share, and their OpenAI partnership keeps generating headlines.
- GOOGL (Alphabet): Gemini adoption plus a favorable antitrust ruling recently gave them momentum AMZN doesn't have right now.

AMZN CONTEXT: Amazon is lagging its mega-cap peers over the past week — sitting at 56% of its 52-week range while MSFT and GOOGL push highs. That underperformance is actually the opportunity: AMZN's setup into earnings is better precisely because expectations are lower.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — solid conviction on the long-term compounding story, but not pounding the table with earnings and macro uncertainty ahead.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade; big enough to matter, small enough that AWS deceleration doesn't wreck your year.

ENTRY POINTS: Add on pullbacks to \$240 or below — the stock has held that level multiple times, making it a natural floor.

TIME HORIZON: 12-24 months — the near-term catalyst is Q3 earnings (late October), longer-term it's AI monetization showing up in AWS numbers by mid-2027.

WHEN TO BAIL: Cut if AWS growth prints below 15%, if the FTC forces a marketplace breakup, or if the stock breaks \$210 on heavy volume.

HEDGING: Buy some downside insurance — cheap out-of-the-money puts that pay off if the stock drops 15%+ — think of it as a small insurance premium against a Q3 miss or a tariff shock.